

UNEMPLOYMENT

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WHAT IS UNEMPLOYMENT?

When people **who are able to work** (in the working age group), **and willing to work**, are **not getting suitable** work.

Major Indicators:

Labour force, or the “economically active”: refers to the **population that supplies or seeks to supply labour** for production of goods and services and therefore, **includes both the “employed” and the “unemployed”**.

Labour force means that population who is either employed or who is unemployed i.e. not employed but actively looking for job.

Labour Force Participation Rate: is the **section of working population** in the age group of **16-64** in the economy currently employed or seeking employment. People who are still undergoing studies, housewives and persons above the age of 64 are not factored in the labour force. **[In India, the age group taken to measure LFPR – 15-64 years]**

- **Labour force participation rate (LFPR):** LFPR is defined as the percentage of persons in the labor force (i.e. working or seeking or available for work) in the population.

$$LFPR = \frac{\text{No. of Employed Persons} + \text{No. of Unemployed Persons}}{\text{Total Population}} * 100$$

- **Worker Population Ratio (WPR):** WPR defined as the **percentage of employed persons in the population**.

$$WPR = \frac{\text{No. of Employed Persons}}{\text{Total Population}} * 100$$

- **Proportion Unemployed (PU):** It is defined as the **percentage of persons unemployed in the population**.

$$PU = \frac{\text{No. of Unemployed Persons}}{\text{Total Population}} * 100$$

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- **Unemployment Rate (UR):** UR is defined as the percentage of persons unemployed among the persons in the labor force.

$$UR = \frac{\text{No. of Unemployed Persons}}{\text{No. of Employed Persons} + \text{No. of Unemployed Persons}} * 100$$

$$\text{Unemployment Rate} = (\text{Number of Unemployed People} / \text{Total Labor Force}) * 100$$

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UNEMPLOYMENT: DATA SOURCES:

- **Reports of Census of India,**
- **National Sample Survey Organization's (NSSO) Reports of Employment and Unemployment situation,**
- **Directorate General of Employment and Training Data** of registration with Employment Exchanges (under Ministry of Labour and Employment).

Periodic Labour Force Survey:

Considering the importance of availability of labour force data at more frequent time intervals, **National Sample Survey Office (NSSO)** [under **National Statistical Organization (NSO)**] launched Periodic Labour Force Survey (PLFS) in **April 2017**.

The **objective of PLFS is primarily two -fold:**

1. To estimate the **key employment and unemployment indicators** (viz. Worker Population Ratio, Labour Force Participation Rate, Unemployment Rate) in the short time interval of **three months for the urban areas only in the 'Current Weekly Status' (CWS).**
2. To estimate employment and unemployment indicators in both **'Usual Status' (ps+ss) and CWS in both rural and urban areas annually.**

Five Annual Reports covering both rural and urban areas giving estimates of all important parameters of employment and unemployment in both usual status (ps+ss) and current weekly status (CWS) have been released. These five Annual Reports are brought out on the basis of data collected in PLFS during July 2017- June 2018, July 2018-June 2019, July 2019-June 2020, July 2020 - June 2021 and July 2021-June 2022.

Activity Status:

Usual Status: The activity status of a person is determined on the basis of the activities pursued by the person during the specified reference period. When the activity status is determined on the basis of the **reference period of last 365 days** preceding the date of survey, it is known as the **usual activity status of the person.**

Principal activity status (ps) - The activity status on which a person spent relatively long time (**major time criterion**) **during 365 days preceding the date of survey**, was considered the usual principal activity status of the person.

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Subsidiary economic activity status (ss)- The activity status in which a person in addition to his/her usual principal status, performs some economic activity **for 30 days or more** for the reference period of 365 days preceding the date of survey, was considered the subsidiary economic activity status of the person.

Activity Status- Current Weekly Status (CWS): The activity status determined on the basis of a reference period **of last 7 days preceding** the date of survey is known as the current weekly status (CWS) of the person.

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DIFFERENT TYPES OF UNEMPLOYMENT:

Structural Unemployment:

A longer lasting form of unemployment caused by fundamental shifts in the economy.

Structural unemployment occurs for a number of reasons - **workers lacking the requisite job skills, change in government policy or change in technology**, or they may live far from regions where jobs are available but are unable to move there or simply unwilling to work because existing wage levels are too low.

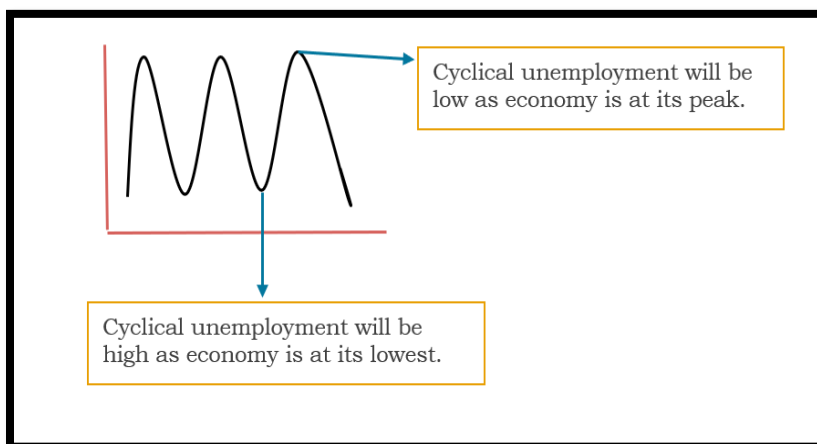
So, while **jobs are available, there is a serious mismatch between what companies need and what workers can offer.**

Example: Industry 4.0 requires new skill sets to be a part of that workforce as compared to Industry 3.0.

Cyclical Unemployment:

This type of unemployment **occurs because of the cyclical trends** in the business cycle.

When **business cycles are at their peak, cyclical unemployment will be low** because economic activity is high. When the **economic output as measured by GDP falls the business cycle is low and cyclical unemployment will rise.** Cyclical unemployment arises because the overall demand for labor declines due to business cycle downturns.



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Frictional Unemployment:

This kind of unemployment arises due to **people moving between jobs, career or location** or **people entering and exiting the labour force** or **workers and employers having inconsistent or incomplete information**.

Many people first leave job and then they try to find a new job according to their choice and this process takes some time to apply for new jobs and for employers to make a selection and hence they remain unemployed for this transition period.

That is why frictional unemployment is also called as **transitional unemployment** and **it is always present in the economy**. **Frictional unemployment can occur even when an economy is at full employment** - where anyone who wants a job at the current wage can have one.

Disguised Unemployment:

Disguised unemployment exists where **part of the labour force is either left without work or is working in a redundant manner**. Under this kind of **unemployment, the overall productivity of labour is very less** and **marginal productivity of labour is zero**.

Disguised/hidden unemployment exists frequently in developing countries whose large populations create a surplus in the labour force. In India, agriculture sector is facing this kind of unemployment.

Note: **Marginal product of labor is a measurement of a change in output when additional labor is added.**

Seasonal Unemployment:

Seasonal unemployment occurs when **people are unemployed at certain times of the year**, because they work in industries where they are not needed all year round. **Examples** of industries where demand, production and employment are seasonal include **tourism** and **leisure, farming, sugar factory etc.**

Voluntary unemployment:

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Voluntary unemployment is defined as a **situation when workers choose not to work at the current equilibrium wage rate.**

There are several reasons for the existence of voluntary unemployment including excessively generous welfare benefits and high rates of income tax. Voluntary unemployment is likely to occur when the equilibrium wage rate is below the wage necessary to encourage individuals to supply their labor.

Underemployment:

It is a situation in which a **worker is employed, but not in the desired capacity, whether in terms of compensation, skill level, experience, education or their availability.** While not technically unemployed, the underemployed are often competing for available jobs. Underemployed workers can be divided into several categories. The most common types of underemployed workers are listed below:

- Skilled workers in low-paying jobs
- Skilled workers in low-skill jobs
- Part-time workers preferring full-time hour job

PHILLIPS CURVE: An economic concept developed by **A. W. Phillips** in 1958, which states **that inflation and unemployment have a stable and inverse relationship.**

According to the Phillips curve, the lower an economy's rate of unemployment, the more rapidly wages paid to labour increase in that economy and hence higher the inflation in the economy.

The theory states that with economic growth comes inflation, which in turn should lead to more jobs and less unemployment.

